APEX GLOBAL TECHNOLOGIES INC.

FY2023 ANNUAL REPORT & AUDITED FINANCIAL STATEMENTS

1. Executive Summary & Operating Highlights

Apex Global Technologies Inc. is a leading enterprise cloud analytics and infrastructure provider. During fiscal year 2023, the Company delivered exceptional revenue acceleration and expanded operating margins driven by strong customer expansion and global enterprise contract renewals.

Total Revenue for FY2023 reached $1,250.0 million, representing a 19.0% year-over-year growth compared to $1,050.0 million in FY2022. Gross Profit rose to $500.0 million from $400.0 million, achieving a Gross Margin of 40.0%. Operating Income (EBIT) increased 38.5% to $180.0 million from $130.0 million in the prior year, reflecting an Operating Margin of 14.4%. Net Income rose 42.9% to $140.0 million compared to $98.0 million in FY2022, representing a Net Profit Margin of 11.2%. Operating Cash Flow reached $165.0 million.

Key Performance Summary (USD in Millions)

Financial Metric	FY2023	FY2022	YoY Growth
Revenue	$1,250.0M	$1,050.0M	+19.0%
Gross Profit	$500.0M	$400.0M	+25.0%
Operating Income (EBIT)	$180.0M	$130.0M	+38.5%
Net Income	$140.0M	$98.0M	+42.9%
Operating Cash Flow	$165.0M	$120.0M	+37.5%

2. Consolidated Statements of Operations (Income Statement)

(in millions of USD, years ended December 31)

Income Statement Item	FY2023	FY2022
Revenue	**$1,250.0**	**$1,050.0**
Cost of Goods Sold (COGS)	$750.0	$650.0
Gross Profit	**$500.0**	**$400.0**
Research & Development (R&D)	$180.0	$150.0
Selling, General & Administrative (SG&A)	$140.0	$120.0
Total Operating Expenses	$320.0	$270.0
Operating Income (EBIT)	**$180.0**	**$130.0**
Interest Expense	$15.0	$12.0
Income Before Taxes	$165.0	$118.0
Income Tax Provision	$25.0	$20.0
Net Income	**$140.0**	**$98.0**

Consolidated Balance Sheet

(in millions of USD, as of December 31, 2023)

Balance Sheet Item	As of Dec 31, 2023
Cash and Cash Equivalents	$180.0
Accounts Receivable	$170.0
Inventories & Prepaids	$100.0
Total Current Assets	**$450.0**
Property, Plant and Equipment, net	$350.0
Goodwill and Intangibles	$300.0
Total Assets	**$1,100.0**
Accounts Payable & Accrued Expenses	$150.0
Short-term Debt	$100.0
Total Current Liabilities	**$250.0**
Long-term Debt	$210.0
Total Debt (Short-term + Long-term)	**$310.0**
Total Liabilities	**$480.0**
Total Stockholders Equity	**$620.0**
Total Liabilities & Stockholders Equity	**$1,100.0**

3. Key Financial Ratios & Risk Factors

Audited Financial Ratios

- Current Ratio: 1.80x (Total Current Assets $450.0M / Total Current Liabilities $250.0M), indicating healthy short-term liquidity buffer.
- Net Profit Margin: 11.2% (Net Income $140.0M / Total Revenue $1,250.0M), an expansion of 187 basis points over FY2022.
- Operating Profit Margin: 14.4% (Operating Income $180.0M / Total Revenue $1,250.0M).
- Debt-to-Equity Ratio: 0.50x (Total Debt $310.0M / Total Stockholders Equity $620.0M), reflecting moderate leverage.
- Gross Profit Margin: 40.0% (Gross Profit $500.0M / Total Revenue $1,250.0M).

Item 1A. Quantitative & Qualitative Disclosures of Risk Factors

1. Interest Rate Risk and Credit Conditions:
The Company has $210.0M in long-term debt and $100.0M in short-term credit facilities. Continued elevated benchmark interest rates could increase borrowing costs and restrict liquidity available for future acquisitions.

2. Foreign Currency Exchange Volatility:
Approximately 35% of consolidated revenues are denominated in foreign currencies (EUR, GBP, JPY). Fluctuations in foreign exchange rates can adversely affect reported dollar revenues and operating results.

3. Cloud Infrastructure & Cyber Security Risks:
Our operations depend on the secure and uninterrupted performance of multi-region cloud centers. Security breaches, distributed denial of service attacks, or outages could cause loss of client data, contractual indemnities, and material reputational impairment.

4. Competitive AI Landscape and Research Costs:
R&D expenses increased 20.0% to $180.0M in FY2023. Rapid advances in generative AI necessitate sustained capital investment; failure to introduce market-leading features could reduce subscriber retention.